



I am not trying to suggest that one should only invest in stocks. It is definitely wise to spread your wealth across various asset classes like stocks, bonds, real estate, art or gold. But if you don't plan to tap into your long-term savings for a period of at least five years, stocks should probably constitute the bulk of your portfolio depending upon your emotional strength to deal with the ups and downs of the market. Even retirees who draw their current income from their investments should have a portion of their savings invested in stocks so that their money will grow faster than inflation. To be a savvy investor one must know the difference between investing and speculating. Investing is intriguing, and if you are still confused I suggest you go back to Chapter 1.



References

1. *Rich Dad, Poor Dad*, Robert T. Kiyosaki with Sharon L. Lechter, (PA), Published by Warner Books.
2. *Cashflow Quadrant*, Robert T. Kiyosaki with Sharon L. Lechter (PA), published by Warner Books.